

1. Chapter 21 Notes.pdf (Measuring GDP & Economic Growth)

- **Importance:** ★ ★ ★ ★ ★ (Top Priority / Guaranteed Questions)
- **Why:** In every single exam (2021 to 2024), there is **at least one full mandatory/broad question (8–12 marks)** on:
 - Calculating **Nominal GDP, Real GDP, GDP Deflator, and Economic Growth Rate** with numerical tables.
 - Distinguishing **Nominal vs. Real GDP** and **GDP vs. GNP / CPI**.
 - Components of GDP ($C + I + G + NX$) and circular flow matching scenarios.

2. Chapter 2 Notes.pdf (Thinking Like an Economist)

- **Importance:** ★ ★ ★ ★ ★ (Mandatory Question Core)
- **Why:** The **first compulsory question** (Part A / Q1) almost always comes directly from this chapter:
 - **Production Possibility Frontier (PPF):** Efficient, inefficient, unattainable points, shifts, and opportunity cost calculations (tested heavily in 2024, 2023, 2022, 2021).
 - **Circular Flow Diagram:** Drawing and mapping household/firm money and goods flows (tested in 2024, 2023, 2022).

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- **Positive vs. Normative Economics** and **Micro vs. Macroeconomics**.

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3. Chapter 4 Notes.pdf (Market Forces of Supply & Demand)

- **Importance:** ★ ★ ★ ★ ★ (High-Frequency Core)
- **Why:** Fundamental questions appear every single year:

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- **Law of Demand & Law of Supply:** Why the curves slope the way they do.

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- **Shift in Curve vs. Movement Along Curve:** Graph explanations.

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- **Market Equilibrium, Shortage, and Surplus:** Graphical shifts when events occur (e.g., input cost rise, technology change).

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- Mathematical equilibrium calculations ($Q_d = Q_s$).

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4. Chapter 5 Notes.pdf (Elasticity & Its Application)

- **Importance:** ★ ★ ★ ★ ☆ (High-Frequency Math & Theory)
- **Why:** Appears in all 4 years:

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- **Determinants of Price Elasticity of Demand (PED).**

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- **Midpoint Formula Calculation** from demand schedules or price/quantity word problems.

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- Relationship between Elasticity and Total Revenue.

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5. Chapter 33 Notes.pdf (Aggregate Demand & Aggregate Supply)

- **Importance:** ★ ★ ★ ★ ☆ (Regular Broad Question)
- **Why:** Tested in 2024, 2023, and 2022:

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- Why the **AD curve slopes downward** (Wealth, Interest-rate, Exchange-rate effects).

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- Why **LRAS is vertical**.

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- AD-AS graph shifts (e.g., investment expenditure increases, net exports decrease).

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6. Chapter 13 Notes.pdf & Maths.pdf (Costs of Production & Profit Maximization)

- **Importance:** ★ ★ ★ ★ ☆ (Essential for Math & Optimization)
- **Why:** Tested in 2024, 2022, and 2021:

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- Cost table calculations: **TC, MC, AFC, AVC, ATC** and why ATC is U-shaped.

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- **Calculus Profit Maximization:** Given TR and TC , finding AR , AC , setting $\pi = TR - TC$, first-order condition ($d\pi/dQ = 0$), second-order condition ($d^2\pi/dQ^2 < 0$), and finding maximum profit (exact matches in Maths.pdf).

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7. Chapter 1 Notes.pdf (Ten Principles of Economics)

- **Importance:** ★★☆☆ (Introductory Concepts)
- **Why:** Used mostly for short definitions:
 - **Definition of Economics, Scarcity, Opportunity Cost**, Factors of Production, and why IIT students study economics.

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- Concepts of inflation and trade-offs.

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8. Classification and Choice of Taxes.pdf & Optimal Budget.pdf

- **Importance:** ★☆☆☆☆ (Least Important / Very Rare)
- **Why:**
 - In the last 4 years of final exams (2021–2024), **no direct questions** were asked from public finance/tax classification (Proportional/Progressive/Degressive taxes or Musgrave's Budget Branches).

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- Only review these after mastering Chapters 21, 2, 4, 5, 33, 13, and the Calculus optimization problems.

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